NUNO FONTOURA · FREE RESOURCE

READINESS CHECK

# Service-to-Product Readiness Scorecard

A 15-minute check on whether your business is ready to sell something you make, and not only something you do.

Fillable PDF · 7 pages · 15 minutes

THE PREMISE

## Selling a product is a different business

A service business sells time and skill, paid as the work happens. A product business sells units you made before anyone paid for them. The costs arrive first, the cash arrives later, and the decisions come every week instead of every project.

Agencies and founder-led businesses with their own production are well placed to make the move, because they already make things. What usually decides how it goes is whether the basics behind each unit are in place before the first batch is ordered. This scorecard checks twelve of them.

THREE PILLARS

### Production

Can you make the same unit, to the same standard, every time, and know what it took?

### Cash and margin

Do you know what a unit really costs, and how long your money is tied up before it comes back?

### Decision rights

Who decides on price, stock and stopping, and are those rules written down?

HOW TO USE IT

1. **Score twelve statements**, four per pillar, 0, 1 or 2 (pages 2–4).
2. **Total your score** out of 24 and read where you sit (page 5).
3. **Plan your first 30 days** from the lowest pillar (page 6).

Answer for how the business runs today, not how you intend it to run. Type into the grey fields and save the file, or print it and write by hand.

PILLAR 1 OF 3

# Production

Whether you can repeat a build and know what it took. Without this, every batch is a new experiment and every cost is a guess.

| # | SCORE 0 (NOT TRUE), 1 (PARTLY TRUE) OR 2 (FULLY TRUE) | SCORE |
|---|---|---|
| 1 | We have a written build process that someone other than the person who designed it could follow. | |
| 2 | For each batch, we record the material, labour and wastage that actually went in. | |
| 3 | We have a pass or fail quality standard, written down, that is checked before anything ships. | |
| 4 | Production time is planned separately from client service time, so one does not eat the other. | |

**PRODUCTION SUBTOTAL** out of 8 · adds up on its own in Acrobat

**THE STATEMENT YOU SCORED LOWEST**

**WHAT WOULD MOVE YOUR LOWEST STATEMENT UP BY ONE POINT?**

> **If this pillar is your lowest, start here.** Write the build process for the one product you would make first, as a checklist a new person could follow, and record real material, labour and wastage on the next three batches.

PILLAR 2 OF 3

# Cash and margin

Whether you know what a unit costs and how long your money is tied up. A product that sells well can still drain the business if the cost and the cash cycle are not known.

| # | SCORE 0 (NOT TRUE), 1 (PARTLY TRUE) OR 2 (FULLY TRUE) | SCORE |
|---|---|---|
| 1 | We know the full cost per unit, including a fair share of overhead, not only materials. | |
| 2 | We know how many days pass between paying for materials and being paid for the finished product. | |
| 3 | Product work has its own budget, separate from the payroll funded by service fees. | |
| 4 | We take a deposit or have written payment terms on product orders, and chase on a fixed day each week. | |

**CASH AND MARGIN SUBTOTAL** out of 8 · adds up on its own in Acrobat

**THE STATEMENT YOU SCORED LOWEST**

**WHAT WOULD MOVE YOUR LOWEST STATEMENT UP BY ONE POINT?**

> **If this pillar is your lowest, start here.** Build a one-page cost sheet for one product: materials, labour, setup, wastage and overhead. Then count the days between paying suppliers and receiving payment.

PILLAR 3 OF 3

# Decision rights

Whether the rules that govern the product are written down and owned. When they are not, every price, order and stop decision waits for one person.

| # | SCORE 0 (NOT TRUE), 1 (PARTLY TRUE) OR 2 (FULLY TRUE) | SCORE |
|---|---|---|
| 1 | We have a written pricing rule: cost plus a target margin, with a floor nobody goes below. | |
| 2 | Someone other than the owner can approve a production change or minimum order, up to a stated limit. | |
| 3 | One named person owns the product, with a monthly review of how it is performing. | |
| 4 | We have a written trigger for when we stop making a product, such as a margin or sales level. | |

**DECISION RIGHTS SUBTOTAL** out of 8 · adds up on its own in Acrobat

**THE STATEMENT YOU SCORED LOWEST**

**WHAT WOULD MOVE YOUR LOWEST STATEMENT UP BY ONE POINT?**

> **If this pillar is your lowest, start here.** Write the pricing rule and the approval limit on one page, name the product owner, and book the first monthly review in the diary.

YOUR SCORE

# Where you sit

**TOTAL SCORE** out of 24 · the three subtotals added up

**LOWEST PILLAR** production, cash and margin, or decision rights

### 0–8 · Build the basics

Too much is still informal to sell a product safely. Fix your lowest pillar before you commit to stock, tooling or a launch.

### 9–16 · Test small

You have part of the foundation. Run a small, controlled batch with a cost sheet and a deposit, and learn before you scale.

### 17–24 · Ready to test at scale

The basics are in place. The risk now is growing faster than your systems, so keep the rules written as volume rises.

These bands are a working guide built from the twelve statements, not a measure against other businesses.

## YOUR FIRST MOVE, BY PILLAR

| LOWEST PILLAR | THE FIRST THING TO PUT IN PLACE |
|---|---|
| **Production** | A written build process and a batch record for one product. |
| **Cash and margin** | A cost sheet per unit, and the count of days your cash is tied up. |
| **Decision rights** | A one-page pricing rule, an approval limit and a named product owner. |

> **Read the pillars, not just the total.** A strong score in two pillars and a weak one usually fails at the weak one. Cash and margin is the one that tends to show up last, and cost the most.

YOUR NEXT 30 DAYS

## Three steps, with names and dates

Take them from your lowest pillar and the statement you scored lowest. Three steps, not ten. If a step is really a project, write its first week instead.

**LOWEST PILLAR**

**LOWEST-SCORING STATEMENT**

**STEP 1**

**WHAT CHANGES**

**WHO OWNS IT**

**BY WHEN**

**STEP 2**

**WHAT CHANGES**

**WHO OWNS IT**

**BY WHEN**

**STEP 3**

**WHAT CHANGES**

**WHO OWNS IT**

**BY WHEN**

WHERE THIS STOPS

## What this scorecard does not do

This tells you how ready the basics are. It does not tell you which product to make, what to charge, or how to fit production around live client work. That is the next piece of work, and I do it remotely with founders making this move.

THE FULLER PICTURE

**A 30-minute discovery call** reads your scorecard with you. I will tell you honestly what to put in place before the first batch, whether or not we work together.

### Want to install this properly?

You know where the gaps are. A discovery call shows how the move to product sits alongside the rest of the business.

**Book a discovery call**

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